

Premier's Data Stewardship Program

PART IV

TECHNICAL SAFEGUARDS POLICIES

Version 2022.3.16

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TS-1. Secure User Authentication Protocols

To the extent technically feasible, Premier employs secure user Authentication protocols for all computer systems, including wireless systems, storing, transmitting, and capable of providing access to Protected Data.

Premier controls user IDs and other identifiers and employs a reasonably secure method of assigning and selecting passwords, or use of other types of unique identifier technologies, e.g. biometrics or token devices. Premier controls its data security passwords by securely storing them in a format that safeguards the data they protect; restricts access to Protected Data to current users with a reasonable need for such access; and terminates access to Protected Data after several unsuccessful attempts to access a particular computer system or network or bypass limitations placed on such access to that system.

A. User Authentication and Verification

To the extent technically feasible, Premier authenticates all users of Premier's computer systems, including wireless devices, storing, transmitting, or permitting access to Protected Data by a secure user authentication protocol before the user is granted access to such systems.

B. Premier Active User Accounts Only

To the extent technically feasible, Premier restricts access to records and files containing Protected Data to only those users who need such information to perform their job tasks. To accomplish this, Premier assigns unique user IDs and/or other identifiers to its users, reasonably assigns passwords to them in a secure manner, or else validates them by using unique identifiers such as biometrics, in order to maintain adequate access controls to computer systems, including wireless devices that store, transmit, or permit access to records or files containing Protected Data. In the event that a Worker or third party has his/her or its relationship with Premier terminated, Premier terminates the user's access to such systems.

Premier ensures that each system that stores, transmits, or permits access to Protected Data restricts access to only active user accounts by revoking user IDs, changing Passwords, withdrawing access to those using other unique identifiers, and/or deleting expired user accounts. Authorized IT personnel changes system Passwords and/or block biometric/token access to the terminated Personnel.

C. Third Party Lockout

In the event that Premier (1) changes its relationships with Third Party Service Providers that have access to its Protected Data or (2) has been informed of a Privacy Event occurring at a third-party vendor's location, Premier locks, monitors, and logs access attempts to these accounts, to the extent technically feasible, to restrict access to only active users and active user accounts.

D. Password/User ID Lockout

To the extent technically feasible, expired user accounts are locked or deleted to prevent unauthorized individuals from attempting to login to systems storing, transmitting, or possessing the capability of accessing Protected Data. All access privileges to expired user accounts are retracted and all computer accounts are locked. System access is removed prior to termination or at the time Premier informs Personnel that it intends to terminate their employment. In the event that Personnel notify Premier of their intention to leave, the Chief Security Officer or authorized IT personnel terminate access to systems storing, transmitting, or possessing the capability of accessing Protected Data as soon as reasonably possible. In the event that Personnel have given notice to terminate their employment with Premier and are still entitled to access Protected Data, Premier limits access to records and files containing Protected Data to the extent possible given their ongoing job duties.

E. Biometrics/Token Lockout

To the extent technically feasible, Premier changes biometric accounts and retains tokens or security certificates given to Personnel to access Protected Data in the event that they no longer require access to Protected Data. If tokens or certificates can be cloned or are not returned, Premier locks or terminates the accounts of terminated users.

TS-2. Control Over user IDs and Other Identifiers and Access Control

Premier maintains a system for controlling user IDs and other identifiers.

A. Access Control

To the extent technically feasible, Premier securely controls access to all computer systems, including wireless systems, storing, transmitting, or providing the capacity to access Protected Data. Premier allocates each system user a unique user ID, consisting of a unique name and/or number, for identifying, verifying, and monitoring his or her access to systems containing Protected Data. Premier limits the ability of unauthorized users to access or change user IDs or other identifiers.

Premier documents its access control policies and implements them using existing or additional hardware and software controls. Please refer to Premier ISMS for related standards.

B. User IDs

To the extent technically feasible, each user of Protected Data is assigned a unique user ID that, along with the user's Password, is reasonably designed to keep Premier's access controls secure. Premier's user IDs permit tracking access to Protected Data. Premier grants user IDs for accounts capable of accessing Protected Data only to those active Users who need such information to perform their job duties. Premier controls user IDs by storing them in secure systems and allowing access only to those whom Premier has authorized to access Protected Data. Premier disables default user IDs if they are not needed.

TS-3. Passwords

A. Password Selection Standard

To the extent technically feasible, Premier's Passwords are assigned and selected in a manner reasonably designed to keep Premier's access controls secure. Passwords include numbers and symbols and are of sufficient length to avoid dictionary attacks.

Only authorized IT personnel or approved processes have the ability to reset user IDs and Passwords. Premier secures user IDs and Passwords stored in its computer systems, including, but not limited to, wireless devices, backup utilities and databases.

To the extent technically feasible, Premier changes all vendor-supplied default passwords immediately upon installation of the vendor's product.

B. Control of Password Assignment

To the extent technically feasible, Premier assigns its Passwords by a reasonably secure method. Users are required to change a generated Password immediately upon first use of the generated Password.

C. Password Non-Display

To the extent technically feasible, Passwords are not visible on a screen, hardcopy or any output devices in clear text and are redacted or obfuscated (e.g. by using asterisks).

D. Password Change Policy

To the extent technically feasible, Premier requires users to change their computer passwords, including those for any wireless system, frequency based on a documented and frequently reviewed risk assessment. In addition the documented and frequently reviewed risk assessment must consider the following additional password control parameters:

- (i) Passwords cannot be a repeat of the last X¹ number of previous passwords used.
- (ii) Passwords entered incorrectly X number of times in a row will result in the corresponding account being locked out for a specified time period.
- (iii) If inadvertent disclosure is known or suspected by Premier, Passwords are changed immediately.

Premier verifies the identity of any individual requesting a Password reset or similar request in order to ensure that such individual has access to the applicable user ID.

¹ X refers to the specific Security Standard per risk assessment

All system-level Passwords are changed at a frequency based upon a documented and frequently reviewed risk assessment and when critical staff leave the Company.

E. Password Storage and Encryption

To the extent technically feasible, Premier stores its Passwords in such a way that decreases the risk of disclosure or unauthorized replacement. The type of protection Premier employs for storing the Passwords and the format selected for their storage and transmission is commensurate with the need for security and confidentiality of Premier's Protected Data.

Premier routinely (1) assesses the vulnerability of its encryption methods applied to Passwords due to advances in technology and mathematics and the strength of its users' Passwords in light of technological developments applicable to cracking Passwords, and (2) updates its encryption methods used to secure its Protected Data whenever appropriate.

TS-4. Unsuccessful Login Attempts

To the extent technically feasible, Premier assigns each member of Personnel a unique user ID and Password to access Protected Data. Login attempts are monitored and logged. In the event that a user makes multiple unsuccessful attempts to gain access or circumvent any access limitations on a particular system, access to user identification is blocked and Premier assigns a new Password to the authorized user.

A. Password Reset Policy

Premier's IT Department honors Password reset requests only by the user or, in emergency situations, by authorized IT personnel.

If Premier's IT Department is not able to validate the user, the request to reset the Password is denied.

To the extent technically feasible, Premier's IT Department generates a new Password upon successful Authentication. Premier's IT Department also sets a flag in the system to create a notification message to or technically force the Password owner at his or her next system login to change (reset) his or her Password. Users who do not change the default Password are prevented from logging into systems storing, transmitting, or capable of accessing Protected Data.

B. Password Reset Request

If a situation arises where a user is unable to request a Password reset and by not doing so work progress will be impeded, the Chief Security Officer or IT personnel authorized by the Chief Security Officer can request a Password reset. This request is in the form of a written request. The request states the name of the owner of the Password, the Premier entity for which the owner works, and a statement explaining the circumstances that prevent the Password owner from requesting the Password reset. Once approved, the Chief Security Officer or authorized IT personnel generate a new Password.

TS-5. Restricting Access to Protected Data

A. Creating New Network Accounts

In order to create a new network account, Human Resources completes new hire paperwork and submits it to the Human Resources system at which point electronic notice is sent to a variety of Human Resources and IT personnel for account setup. For non-employee Personnel, the request may originate with the management of the business unit engaging the Personnel in accordance with approved procedures. Promptly after approval, the authorized IT personnel create a new account.

B. Third-Party Maintenance

Systems and application software maintenance are scheduled in advance of the applicable subcontractor's arrival at the data center or online connection. To the extent technically feasible, maintenance tasks are documented so that all functions and operations to be performed are known in advance and appropriate notification is provided to Chief Security Officer or authorized IT member who monitor the maintenance work to ensure that all software changes are fully documented and tested before being made part of any production system that could expose Protected Data. To the extent possible, Third Party Users for support on a screen sharing session should be monitored at all times by a member of Premier's IT department.

C. Network Access Control

To the extent technically feasible, Remote Access to Premier systems for users and third parties is permitted only pursuant to the Technical Safeguards described herein. Each user with Remote Access privileges to Information Systems capable of accessing, storing or transmitting Protected Data is required to have and use his/her own unique user ID and Password.

Remote Access is available for authorized entities. Remote Access to Protected Data requires that the identity of the requestor be verified prior to granting access to systems storing, transmitting, displaying, and accessing Protected Data. The connection between the Remote Access device and the asset being accessed must meet the requirements of communication link controls; this authorization is available from the Chief Security Officer or authorized IT personnel with the proper approvals. To the extent technically feasible, Premier encrypts all transmitted records and files containing Protected Data that will travel across public networks, and all data transmitted wirelessly that contains Protected Data will be encrypted. Remote Access is protected by a supplemental security layer, separate from the system security layer that authenticates users and restricts access to only those networks and computer systems for which the users have obtained authorization.

Premier's Data Privacy and ISMS, including those to which an individual is subject while accessing Protected Data while on Premier's premises apply to Remote Access as well. Violations are considered serious, and can result in disciplinary action up to and including termination. Please refer to Premier ISMS for detailed information related to these standards.

All new procurements, installations, and applications of systems capable of Remote Access are reviewed and approved by authorized IT personnel. All Remote Access systems are cataloged. The catalog is conveyed to the Chief Security Officer and authorized IT personnel.

To the extent technically feasible, where Remote Access capability is present, access controls are implemented only through Premier-approved combinations of hardware and software security tools that:

- Enforce unique user IDs for each user;
- Have the capability to limit the number of unsuccessful login attempts;
- Possess the capability to restrict access to specific nodes or network applications;
- Employ access control software/hardware to protect stored data and the security system from tampering;
- Implement automatic session termination and cleanup following the disconnection of incoming Remote Access sessions;
- Create audit trails of successful and unsuccessful login attempts; and
- Provide Password management functions to enforce periodic change intervals and Password security standards for systems using fixed Password Authentication for Remote Access.

Premier instructs its users not to store Protected Data or other sensitive information (including system Passwords) on their home or mobile computers when they engage in Remote Access, unless such information is suitably encrypted.

D. Remote Vendor Access

Consultants and contractors may be granted remote access provided that such access is limited to only those required to perform their assigned duty, and that the hiring manager has requested such access. A standard Premier Vendor Agreement containing appropriate privacy and data security clauses as identified by the Privacy Officer must be signed prior to conducting any work on behalf of Premier.

Third-parties that are not consultants or contractors are forbidden from being granted remote access. They may conduct remote support activities provided that these activities are conducted through a WebEx session under the observation of a member of Premier Personnel at all times.

TS-6. Integrity Controls

A. Ensuring Data Integrity

Premier takes reasonable precautions to make sure that data incorporating Protected Data is reliable, accurate and current. Premier maintains sufficient monitoring systems to ensure that it can verify Protected Data that its Personnel or Information System or Systems access, store, or

transmit. Premier's IT Department maintains sufficient system safeguards to ensure the security, and confidentiality of Protected Data in the event that Premier's IT Department must restore Records containing such Protected Data.

TS-7. Encryption

A. Encryption Methods

Premier employs encryption methods with appropriate key lengths and up-to-date encryption technology.

Premier regularly assesses the need to employ (i) greater degrees of encryption or (ii) new encryption methods, and it evaluates upgrades to its encryption systems whenever it discovers its encryption method no longer can secure its Protected Data to the extent reasonably necessary.

To the extent that employing encryption is not technically possible, Premier implements other controls, such as enhancing auditing of network access or limiting access to such networks.

In the event new methods of encryption are proposed, qualified experts, designated by Premier IT personnel, first review such methods. Only then may Premier's Enterprise Architect, Information Security Staff or other such IT personnel authorized by the Chief Security Officer approve such methods.

B. Backup Storage

Premier evaluates the risk of unauthorized disclosure of backup information. Premier encrypts backup information, including backups transmitted offsite.

C. Public Networks

To the extent technically feasible, Premier encrypts all transmitted files and Records containing Protected Data if such files and Records will pass through public networks. On an as needed basis, the sender and recipient of encrypted Protected Data use digital signatures. Premier utilizes industry standard protocols and best practices including but not limited to SSL, TLS, and PGP.

D. Wireless Networks

To the extent technically feasible, for any wireless system allowing Personnel access to Protected Data, Premier (i) encrypts all data containing Protected Data; (ii) creates mechanisms for controlling its wireless systems; (iii) documents and instructs its employees about its wireless policy; and (iv) authorizes, monitors, and manages wireless access to the Information System. Premier also routinely evaluates the adequacy of its wireless encryption method in light of evolving standards of technical feasibility or whenever Premier has a change in the need for security and confidentiality of its consumer and employee data.

E. Encryption

To the extent technically feasible, Premier encrypts all Protected Data stored on laptops and other portable devices. Premier adopts an appropriate solution for providing secure encryption methods for its devices. Before rolling out an encryption system for its devices, Premier implements a test deployment and verifies its security. After successful tests, Premier deploys its system and administers it. Premier reassesses and updates its systems based on technological developments, the addition of new resources available to it, changes to the amount of its stored or transmitted data, and developments that have occurred to heighten the need for the security and confidentiality of its consumer and employee data, as well as other relevant factors.

Any Protected Data stored on laptops or personal devices is encrypted to ensure that anyone who may intercept the data while in transit is not able to access or use it. Protected Data is also encrypted when stored on electronic media that could be deemed a portable devices. Approved encryption methods are used for the encryption. Premier ensures that appropriate and up-to-date encryption technology is employed and regularly reviews whether additional levels of encryption are warranted.

TS-8. Monitoring and Audit Controls

To the extent technically feasible, Premier reasonably and regularly monitors systems storing or transmitting Protected Data for unauthorized access to or use of Protected Data. Premier upgrades its monitoring safeguards as necessary to limit risks of Privacy and Security Events. Whenever a change in hardware, software, or networks occurs, Premier reevaluates the need to increase monitoring of its systems. Premier also assesses its monitoring program whenever a change occurs in the types of Protected Data that it handles. Monitoring is structured to detect actual unauthorized access as well as unauthorized attempts to access Protected Data. Premier establishes real-time intrusion detection systems and creates systems for penetration testing if it (1) possesses adequate resources and (2) maintains highly confidential Protected Data. Premier also regularly reviews security audit logs.

To the extent technically feasible, Premier adopts intrusion detection systems and other mechanisms appropriate to the resources available to it and the Protected Data with which it is entrusted. In cases of Privacy Events, Premier considers bringing in computer forensic specialists and other technicians to analyze and contain any Privacy Events, including unauthorized access, the introduction of malicious code, and inappropriate access to and usage of Protected Data. In the event of a Privacy Event, Premier preserves evidence of attacks and consults legal counsel so that evidence can be retained for legal prosecution or defense.

A. Monitoring Tools

To the extent technically feasible, Premier employs hardware, software and/or procedural mechanisms that monitor, record and examine activity in Information Systems that contain or use Protected Data and monitors events occurring in devices storing or transmitting Protected Data. If there is a reasonable means through technology to provide near real-time monitoring of its systems storing or accessing Protected Data, Premier employs it. In the event that Premier stores or transmits new types of Protected Data or varies the size, scope and type of its business, its available resources, the quantity of the data it stores, and/or the need for confidentiality and

security of its data, Premier increases its monitoring in proportion to the risk of unauthorized disclosure of Protected Data.

Premier assesses its monitoring objectives and resources available to monitor its systems periodically.

B. Auditing

To the extent technically feasible, Premier performs regular audits to ensure the integrity of its Protected Data and the adequacy of its measures to protect the confidentiality and security of such Protected Data. Such resources permit the investigation of Privacy Events and provide general monitoring of system activity. Auditing or logging procedures are also employed to provide security audit information for all systems that store or transmit Protected Data.

C. Auditing Logs

To the extent technically feasible, Premier secures audit logs so that they cannot be modified or read by unauthorized persons and protects audit logs from unauthorized access, modification or destruction. For computer systems, the software application chosen to perform system monitoring is capable of gathering and storing audit log information and is configured to do so.

To provide a physical audit trail, records of changes to the hardware and software inventory are maintained by the individual responsible for the inventory. Physical audit trails record the:

- Identification of person maintaining or removing the computing asset;
- Date and time of maintenance event or removal;
- Identification of computing asset maintained or removed;
- Date and time when computing asset was returned; and
- Inspection and acceptance of returned computing asset.

All audit trail records are:

- Protected from unauthorized access, modification, or destruction;
- Reviewed when notifications of possible security violations have been sent to designated personnel who review the audit log; and
- Retained for a period of time as determined by Premier's Record-retention policy.

Identified Privacy Events are reviewed according to Premier's Privacy Event Response Policy.

TS-9. Firewalling and Patching Systems

To the extent technically feasible, for files containing Protected Data on a system that is connected to the Internet, Premier employs reasonably up-to-date firewall protection and operating system security patches, reasonably designed to maintain the integrity of the Protected Data. Premier performs general risk assessments and cost-benefit analysis of its network applications to determine the appropriate firewall to deploy. Premier's firewall devices are accessible to the internet either by a dedicated hardware firewall or software firewalls on individual systems. Premier restricts access to only those protocols and ports providing necessary services on networks where Protected Data is stored or transmitted. Premier disables unnecessary services, such as Telnet or FTP, on systems containing Protected Data or on systems that can access such systems. Premier's IT department ensures that the firewall and systems automatically update so that Premier receives the most current software patches. Premier audits and verifies all firewall-related Data Security Policies at least quarterly.

A. Firewalls

Premier regularly evaluates the need for (1) firewalled systems to protect its Protected Data, and (2) intrusion detection capabilities for its firewalls. To the extent technically feasible, Premier deploys one or more firewalls capable of filtering packets and protocols, each providing real-time inspection of connections, proxy services to vulnerable applications, and logging mechanisms differentiating between authorized and unauthorized access. Premier's firewalls are reasonably designed to ensure the integrity of access controls for Protected Data.

B. Patches and Vulnerability Scanning

To the extent technically feasible, Premier identifies its computer systems, including wireless systems, containing Protected Data and ensures that its applications and operating systems are reasonably up to date and updated regularly to receive the most current security updates reasonably designed to maintain the integrity of Protected Data. Premier views vendor websites, vendor mailing lists, and vulnerability databases, and deploys vulnerability scanners and enterprise patch management tools. Premier takes reasonable steps to scan for vulnerabilities, which may include password scanning. Premier personnel use intrusion prevention to complement firewall security.

TS-10. Malware and Virus Protection

To the extent technically feasible, Premier employs (i) reasonably up-to-date versions of system security agent software, including malware protection, and reasonably up-to-date patches and virus definitions; or (ii) versions of such software that can still be supported by current patches and virus definitions. Premier configures such system security agent software to regularly receive the most current security updates. Premier regularly performs a risk assessment and cost-benefit analysis on the network applications that it uses to determine the appropriate level of malware protection and system security agent software.

A. Malware

To the extent technically feasible, Premier identifies the computing systems, including wireless systems, containing Protected Data and ensures that it regularly scans such systems for malware

and viruses. Premier quarantines such threats or automatically deletes infected files. Premier selects anti-malware software capable of filtering such threats as viruses, worms, Trojan horses, malicious mobile code, tracking cookies, backdoors, and rootkits. Premier monitors malware advisories and alerts produced by trusted organizations and anti-malware vendors and creates procedures for protecting against and containing malware.

B. Virus Protection

To the extent technically feasible, Premier regularly identifies computing systems, including wireless devices, networks and storage devices containing Protected Data and ensures that such devices have adequate and reasonably up-to-date virus protection. Premier updates its virus definitions automatically and frequently. Premier scans incoming email on its mail servers and incoming files on its network. Premier provides a second-line defense by installing virus protection software on users' workstations, laptops, and other devices.

TS-11. User Education

Consistent with the Training Policies set forth in the Part II of this Program (Administrative Safeguards), Premier educates and trains all Personnel who Access Protected Data on practices for the proper use of computer security systems and the importance of safeguarding Protected Data. These practices include (1) proper Password usage and other types of authentication, (2) securing laptops and portable devices and encrypting Protected Data to the extent it is technically feasible, (3) reporting suspected Privacy and Security Events, (4) practicing safe email use, (5) engaging in appropriate Remote Access procedures, (6) patching and updating computer systems, laptops and portable devices, and (7) employing proper network security practices.

TS-12. Protected Data Destruction

A. Hard Copies

All paper-based (hard copy) output of Protected Data must be securely disposed of, either by shredding or by placing documents in designated secure containers for pickup by authorized document management personnel.

B. Disposal of Electronic Media

Electronic Media such as tapes, diskettes, floppy disks, hard drives and CDs that contain or at any time contained Protected Data must be destroyed or erased in an appropriate and reasonable manner prior to disposal, so that Protected Data cannot practicably be read or reconstructed. This may include scrubbing a device containing the data or other destruction of the electronic data. Personnel must see a member of Premier IT to ensure proper destruction. Any Electronic Media where the Protected data has been properly encrypted and where the decryption key is not stored on the media, does not require any special process for destruction.

TS-13. Decommissioning Equipment

When Premier repurposes or disposes of a terminated Personnel's computer to another Personnel, Premier ensures that all Protected Data on the computer's storage devices are securely

destroyed. Methods of performing these actions may include the use of a third party disk scrubbing utility, retention of the user's drive, or destruction of the drive, such as by degaussing, shredding, or other means of physically destroying data through specialized equipment and services.

TS-14. Contingency Plan

A. Data Recovery

Premier's IT Department maintains a data backup plan in place in order to ensure that exact copies of Records containing Protected Data are retrievable in the event Premier's IT Department's systems are down, breached, corrupted or otherwise made unavailable due to a disaster event.

Premier's IT Department identifies the essential data containing Protected Data maintained by Premier, particularly data on which large numbers of persons rely or which have a major impact on the operation of Premier, the most highly probable reasons for data unavailability, and the backup and recovery requirements for such data.

Premier ensures that Records containing Protected Data can be recovered in the event of a localized or far-reaching disaster.

Premier's IT Department regularly makes backup copies of its data and stores such backups offsite in a format that protects the Protected Data contained in the backups in the event such backups are misappropriated. To the extent technically feasible, Premier encrypts backup tapes of data containing Protected Data.

B. Application System and Operating System Availability

Premier's IT Department identifies the application systems and operating systems needed to process the Records containing Protected Data identified above, the most probable causes of application system or operating system unavailability, and the backup and recovery requirements for these application systems and operating systems.

If appropriate, Premier's IT Department backs up, at both the nearby and remote locations, copies of application software and operating systems to ensure that Premier's IT Department can recover Premier's IT Department Information Systems.

C. Documentation Availability

Premier's IT Department identifies all documentation required to (1) bring backup systems online, (2) understand the data containing Protected Data maintained on the systems, the software systems and applications, and (3) to operate successfully such system and applications. To ensure that Premier's IT Department can restore Protected Data and Information Systems after a disaster, Premier's IT Department makes additional copies of such documentation and stores such copies at appropriate locations, both nearby and offsite.

D. Special Equipment Requirements

Premier's IT Department identifies any obstacles such as unique hardware which could not be readily replaced and would be needed to perform a "bare metal restore," if the inability to perform such a restoration would adversely affect business continuity. Premier's IT Department sources specialized parts, stockpiles such parts, if necessary, and/or contracts with vendors of special equipment to ensure that these vendors have a verifiable plan for quickly replacing any special equipment in the event of a system failure or other disaster.

E. Remote Access Back-up Requirements

To the extent technically feasible, Protected Data stored on Remote Access devices is stored only on network servers operated and secured by Premier or third parties contractually required to maintain relevant Premier Data Security Policies and that all such records and files containing Protected Data transmitted over public networks or over wireless networks are encrypted.

F. Personnel to be Notified in the Event of an Unexpected System Outage

Premier's IT Department identifies and maintains a list of Personnel who, in the event of a major operational failure or disaster, should be involved in the recovery efforts. Premier includes on such list all necessary contact information and updates it on as needed basis and as membership changes.